where the problem goes to a whole different level.

When asked whether India actually has the infrastructure for this to happen, Lingareddy clearly says, "No, India doesn't have the infrastructure to manufacture a phone completely. It is going to take a while. Skill set, investment capital and infrastructure needs to be built up especially with respect to PCB manufacturing and SMT. All the recent PR around making phones here must be taken with grain of salt, as we are merely doing limited assembly and testing and still call it 'made in India'. We still have ways to go."

The integrated semi-conductor industry will probably never come to India yet. Companies like TSMC will presumably never make chips in India, even if fabless semi-conductor manufacturers are excited by the prospects here. India currently doesn't have the skill for these companies to come here and work. "The experience with fab technology is very low indigenously in India. So this is going to have to take some level of skill development and training, possibly through importing some talent or otherwise. No foreign company has opened a fab in India right now. So, the actual skill level is quite low," says Rajiv Kapur, Managing Director, Broadcom India.

Further, even if the facilities are developed, it doesn't mean that the cost of chips will automatically go down. For one, setting up a foundry is a complicated and expensive process, and India has to start from square one. Even then, there are more factors involved, "At the end of the day, the cost of the wafers is a part of the cost of the chip. It's in some sense like gold jewellery, the more gold you put in, the more the gold is going to cost. Just because a fab is opening India is not a statement that it will be cheaper. There are two unknowns today, which technology node is opened in India, and how will it be priced compared to the rest of the global chain. That is the key answer you need," says Kapur.

What Kapur means here is that even if we do have the production capacity here, it depends on whether we can actually compete with global leaders. You hear about Samsung and Intel producing 14nm chips for smartphones. Now imagine – a new company set up in India, will have to produce at that level in order to compete. Even if we manage that, we will need to match the scale that current global players can produce. A tough task, to say the least.

It's not that the Indian government isn't putting in the right efforts for make in India to succeed, it's just that it's a herculean task. "India has a growing appetite for electronic goods, which means there is obviously a strong demand in the market for such devices, including smartphones. Incidentally, 65% of the current demand for electronics products is met by imports. So, there is definitely space here to build a local manufacturing hub. Add to this India's design expertise, favourable government policies and incentives offered

for foreign investment, and the intent is correct, as proven lately by Foxconn's $5bn pledge of investment in the country," said Dr. Finbarr Moynihaan, GM, Corporate Sales, International, MediaTek.

As Micromax's CEO Vineet Taneja says, despite the government's best efforts, equating make in India to pricing is incorrect, since other factors are also involved, including the recent market fluctuations. The government has currently given duty advantages of 11.5% to mobiles made in India, while tablets are getting a 10.5% advantage, but it may still not be enough.

You need to look only as far as the Xiaomi Redmi 2 Prime, which is supposedly the first 'made in India' phone. The company was able to launch it at ₹6,999, which though competitive, isn't really the price cut that you may have hoped for. Of course, the price cut is lower on phones that are already pretty inexpensive, but the price cut doesn't seem to be much on the high end phones, either. As is evident from Samsung's repeated claims that its phones are are being made in Indiaand yet continues launching them at over 50k.

None of the above means making phones in India is not required, though. The real reason for the whole Make In India initiative isn't to bring down the prices. Did you know India's electronics imports are expected to be around $300 billion by 2020, to meet a demand of $400 billion? The real reason for making in India is to reduce the import-export balance of the country. At the current rate, electronics imports are estimated to overtake oil, and we don't need to explain to you what that would mean, do we?

There have been reports stating that Indian Prime Minister Modi wants the import-export balance to be reduced to zero. While this may be a seemingly massive task, the government can at least try and reduce the gap as much as possible. And it is doing so, through incentives and policies that can help manufacturers, some of which are mentioned above by Micromax's Vineet Taneja. In fact, the company's sister concern, the Yu brand, is a also of the same opinion. According to Amarinder Dhaliwal, COO, Yu Televentures, even phones assembled here can potentially get a price cut. "When companies import a finished product, rather than merely a component, they attract a duty of around 12.5 per cent, while smartphone components can be imported at just 1 per cent," he said.

While consumer tech today can often feel like it's all about the next best phone, in the larger scheme of things, it plays a much bigger role. Our appetite for bigger, better and more phones is fueling all of this. There's a need for things to be made here, and while the government continues to put its efforts into it, as many more accomplished than us have said before, it just seems unlikely that it will happen. In addition, a price cut is not the only thing you should be looking for either, since Make In India is less about the price that you pay and more about the price that the country pays.